

Provision of goods and services

Governments have been involved in the production and sale of private goods like electricity, water, gas and communications

Due to the fact that these goods require a large amount of expensive infrastructure (due to them being natural monopolies)

Also due to the govt having to protect society from private firms exploiting their monopoly position in the sale of such goods

There has been a departure over time of govt provision of these goods due to

- Wastage of resources

- rising inefficiency

- High cost

May be provided more effectively by private firms

Public goods

Public goods provide significant social benefit eg. street lighting, military